

Quarterly Business Review — Q4 FY2025

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1. Executive summary

Q4 FY2025 closed ahead of plan on revenue and behind plan on gross margin. Annual recurring revenue reached INR 412 crore, up 31% year on year, against a plan of INR 398 crore. Gross margin of 68.2% was 2.4 points below plan, driven almost entirely by cloud infrastructure cost growth outpacing customer growth.

Net revenue retention was 114%, the fourth consecutive quarter above 110%. Gross logo retention was 91%, down from 94% in Q3, with the decline concentrated in the Essential tier. Two Enterprise accounts churned, both following acquisition by a parent with an incumbent platform.

2. Revenue detail

New business contributed INR 34.2 crore of new ARR against a plan of INR 30.0 crore. Twenty-nine new logos closed, of which nine were Enterprise tier. Average new-logo contract value rose to INR 118 lakh from INR 94 lakh a year earlier, reflecting a deliberate shift up-market rather than a price increase.

Expansion within the existing base contributed INR 21.7 crore, ahead of the INR 18.0 crore plan. Seat expansion accounted for two thirds of this and tier upgrades the remainder. The strongest expansion cohort remains customers onboarded 18 to 30 months ago, which is consistent with the observed adoption curve.

Churn and contraction totalled INR 9.1 crore against a plan of INR 7.5 crore. The overrun is attributable to the two Enterprise departures noted above; excluding those, churn was marginally better than plan.

3. Margin and cost

Cloud infrastructure cost grew 44% year on year against revenue growth of 31%. Analysis attributes roughly 60% of the excess to query workloads on three large tenants whose model design has not been reviewed since onboarding, and 40% to non-production environments left running outside working hours.

Two remediations are underway. A model review programme for the twelve largest tenants begins in Q1 and is expected to recover 5 to 7 points of infrastructure efficiency. Automatic shutdown of non-production environments outside 07:00-22:00 is already live and reduced non-production spend by 38% in its first full month.

Support cost per customer fell 9% despite ticket volume rising 14%, following the publication of the self-service knowledge base in October. Deflection is currently 22% of would-be tickets against a target of 30%.

4. Product

Three planned releases shipped in the quarter. Customer-managed encryption keys shipped to Enterprise in October and has been adopted by eleven accounts. Incremental refresh for watermarked sources shipped in November and is now used by 64% of eligible tenants. The semantic layer versioning capability shipped in December, two weeks late.

Mumbai data residency, planned for Q4, slipped to Q1 FY2026. The cause was an underestimate of the work needed to separate backup and disaster recovery paths by region. Seven prospects are gated on this capability, representing approximately INR 14 crore of pipeline.

5. Operations

Platform availability was 99.94% against a 99.9% commitment. There was one SEV1 lasting 47 minutes in November, caused by a schema migration that acquired a lock on a large table during business hours. The post-incident review produced two actions, both closed.

There were no security incidents affecting client data. One SEV2 was raised in October when an API key was committed to a private repository; it was rotated within 20 minutes of detection and log review confirmed no use

of the key outside expected sources.

6. People

Headcount closed at 287, up from 241 a year earlier. Voluntary attrition was 11.2% annualised, below the 14% plan assumption. Engineering attrition was 8.4%.

Nineteen roles were open at quarter end, of which eight are in engineering and five in client services. Median time to hire was 41 days, improved from 58 days a year earlier.

7. Outlook

The FY2026 plan assumes 28% ARR growth, margin recovery to 71% by Q3, and gross logo retention returning above 93% as the Essential tier onboarding changes take effect.

The principal risks to that plan are the Mumbai residency slip constraining regulated prospects, continued infrastructure cost growth if the model review programme underdelivers, and concentration risk from the largest customer at 6.1% of ARR.

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